While most of our plans are for the life ahead, we must also plan for what happens after we die. In addition to insurance to cover the commitments that we've taken on—which become the responsibility of those we leave behind—we have to consider what will happen to the money and property we own. What you own when you die, your estate, may be taxed but what is left can be passed on to your family and friends. Making a will, an official document recording your wishes, helps avoid legal arguments about who is entitled to your estate and the tax that you have to pay.

IT TAKES AS MUCH ENERGY TO WISH AS IT DOES TO PLAN.

ELEANOR ROOSEVELT, US POLITICIAN

SETTING UP HOME

Sooner or later, most young people leave the family home to live independently. As they begin to earn regularly, this financial security enables them to take on the long-term commitments of setting up a home such as paying rent or repaying a mortgage. Many people want to have a family of their own and will have to consider the financial commitment of providing for their children for many years to come.

Legend has it that sailors and pirates used to wear gold earrings to pay for their funerals if they died at sea.